

ICRA

RATING RATIONALE

Entity: Sunrise Pharmaceuticals Pvt Ltd

Rating: A-/Stable

Date: November 15, 2024

Instrument	Size (■ Cr)	Rating
Long-term Bank Facilities	180.00	A-/Stable
Short-term Bank Facilities	85.00	A1/Stable

RATING DRIVERS

Key Strengths:

- Established market position with strong revenue growth trajectory
- Healthy EBITDA margins demonstrating operational efficiency
- Adequate debt coverage metrics with comfortable interest coverage
- Experienced management team with long track record

Key Weaknesses / Rating Sensitivities:

- Working capital intensive operations requiring continued bank support
- Concentration risk in domestic market
- Rating upgrade linked to sustained revenue above current levels with margin stability
- Rating downgrade may occur if D/E exceeds 1.5x or ICR falls below 3.0x

FINANCIAL SUMMARY

Parameter	FY2024	FY2023
Revenue (■ Cr)	420.00	365.00
EBITDA Margin (%)	31.8	30.8
PAT Margin (%)	14.7	13.8
Debt/Equity (x)	0.93	0.99
Interest Coverage (x)	4.74	4.45

Analyst: Rating Team, ICRA

Disclaimer: This rating is not a recommendation to buy, sell or hold.